TRIPLETT v LAGUNA GOLD MORTGAGE, INC.

23CV47133

DEFENDANT'S MOTION TO SET ASIDE DEFAULT & QUASH SERVICE

On December 27, 2023 James Triplett ("Plaintiff") filed his complaint for conversion, breach of contract, and negligence against multiple defendants including Tulare Industrial Center, Inc. ("TCI"). Now before the Court is TCI's motion to set aside default and quash service of process.

I. Background and Procedural History

On or around May 4, 2021, Plaintiff entered into a contract ("Agreement") to purchase an unbuilt steel building ("Product") from Laguna Gold Mortgage, Inc. ("LGM") for $49,000.00. Pursuant to the Agreement, the Product was to be delivered by LGM to a jobsite located at 124 Pine St. in West Point, California 95255 ("Jobsite") on approximately November 30, 2021..

LGM purchased the Product from Bluescope. According to Plaintiff, LGM and/or Bluescope hired defendant Feijo Trucking to transport Product and TCI to store Product while it was in transit. Product was never delivered. On May 1, 2023, Plaintiff was informed by an investigator for Great Western Casualty that Product had been stolen from a yard. The Product had been specifically targeted, because a different item was stolen first, then returned, and Product subsequently stolen. Plaintiff alleges that TCI did not take the steps necessary to secure the yard where Product was stored after the first theft occurred.

Plaintiff filed his complaint on December 27, 2023. On or about January 10, 2024, Plaintiff served a Summons and Complaint upon Cynthia Gregory, the agent for service of process and a director of TIC. (Declaration of Cynthia Gregory ("Gregory Decl." ¶¶ 1, 4.) In the "Notice to the Person Served" portion of the Summons, it indicates that service is on behalf of "Terry Feijo Trucking, LLC, a California Limited Liability Company." (Gregory Decl. ¶ 4, Ex. 1.) At the bottom of the Summons, it indicated that TIC was a co-defendant in the lawsuit.

Plaintiff filed a proof of service on TIC on or about January 11, 2024. The proof of service states that Cynthia Gregory had been served on behalf of TIC. Gregory acknowledges that she received the Summons. (Gregory Decl. ¶ 4.) However, Gregory did nothing with the Summons until it was presented to, and discussed with, the TIC Board of Directors on March 12, 2024. (*Id*. ¶ ¶ 5-6.)

On March 1, 2024, the clerk entered default against TIC. The instant motion to quash and to set aside default followed.

II. Legal Standard and Analysis

TCI's request to set aside the entry of default is necessarily bound up with its argument to quash service. TCI moves for relief on three grounds: (1) service of summons was defective under Code of Civil Procedure section 412.30; (2) the default was not valid because the service of summons was defective; and (3) the default should be set aside due to excusable neglect pursuant to Code of Civil Procedures section 473(b).

A. Defective Service of Summons / Invalid Default

TCI first argues that the summons was defective (and thereby the default was also defective) because while it was served upon TCI's agent at the agent's address of record, the summons indicated that it was for Feijo Trucking, LLC rather than TCI.

California Code of Civil Procedure Section 412.30 requires that service of a summons on a corporate defendant contain a notice that the person served is being served on behalf of the corporation. Here, this requirement was substantially met and the summons was not defective. (*MJS Enterprises, Inc. v. Superior Court*, (1984) 153 Cal.App.3d 555, 557 [substantial compliance is all that is required].) Although the summons listed Feijo Trucking, it stated that Ms. Gregory was being served on behalf of a corporation, and that corporation (TCI) is clearly listed as a co-defendant.

Second, the Court finds that there was substantial compliance because TCI was placed on notice of the lawsuit against it. Service of process statutes are "liberally construed to effectuate service and uphold the jurisdiction of the court if actual notice has been received by the defendant." (*Pasadena Medi-Center Associates v. Superior Court* (1973) 9 Cal.3d 773, 778.) Here there is no doubt that TCI was placed on notice by the summons that a lawsuit was being brought against it. Their agent recognized the need to present it to the Board, and the Board recognized the need to obtain counsel. The Court finds that the summons complied with the statute because it gave notice to Ms. Gregory that she was being served on behalf of a corporation and had actual notice of the lawsuit against TCI. (Code Civ. Proc. § 473.5.)

Accordingly the **motion to quash service is DENIED**.

B. Motion to Vacate Based Excusable Neglect.

TCI also argues that if the Court finds service was proper, then it should be relieved from the entry of default pursuant to Code of Civil Procedure section 473(b), which authorizes the court to set aside a default upon a showing that the default resulted from mistake, inadvertence, surprise, or excusable neglect.

Here, the agent for service of process is also a director of the board for TCI. Thus, when she had actual notice of the lawsuit against TCI as the agent, she had concurrent notice as a member of the board. Ms. Gregory does not argue that she did not understand the importance of the summons, but simply states that she waited to bring them to the TCI offices until after she had finished caring for a loved one who was dealing with medical problems. (Gregory Decl. ¶ 5.) This was nearly a month after she first received notice of the lawsuit involving TCI. Thereafter, neither Gregory nor any other Board member seems to have taken any action on the summons until nearly two months later at the March 12, 2024 board meeting. (*Id*. ¶ 6.)

However, TCI argues that the board is comprised of volunteers who meet infrequently. (Declaration of President Keith Reynolds ("Reynolds Decl." ¶ 3.) Mr. Reynolds, was aware that Ms. Gregory had received some sort of legal documents, but was unaware that there was any deadline related to those documents. (*Id.* ¶ 2.) Accordingly, no board meeting was held until March 12, 2024, when the members immediately decided there was a need to consult an attorney. (*Id.* ¶ 4Only after belatedly obtaining counsel, did the board of TCI become aware that there was a default that had been entered against TCI.

The Court is cognizant of the fact that courts favor determination of cases on the merits, and to that end any doubts about granting 473(b) motions should be resolved in favor of the party seeking relief. (*Maynard v. Brandon* (2005), 36 Cal.4th 364, 372.) Given that, and the circumstances herein, the Court finds there was mistake and/or excusable neglect on the part of TCI in not responding to the summons sooner. Accordingly, the **motion to set aside default is GRANTED**. TCI is ordered to file a responsive pleading within fourteen (14) calendar days of this order.

The Clerk shall provide notice of the Ruling forthwith. Defendant TCI to prepare a formal Order conforming to this Ruling pursuant to Rule 3.1312.